Default Alive or Default Dead?

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Paul Graham's most important question for startups (Default Alive or Default Dead?, October 2015)

The Question

> "Assuming their expenses remain constant and their revenue growth is what it has been over the last several months, do they make it to profitability on the money they have left?"

Default Alive = Yes. You survive even if nothing else goes right. **Default Dead** = No. You die unless something changes.

Most founders don't know the answer. That's terrifying.

The Math (Do This Now)

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Monthly Costs (with the pay each founder needs) = _____________ €/month
Monthly Revenue                                 = _____________ €/month
Monthly Revenue Growth Rate                     = ______ %
Cash in Bank                                    = _____________ €

Each month:  Cash    = Cash − Costs + Revenue
             Revenue = Revenue × (1 + Growth Rate)

Default alive if Revenue reaches Costs before Cash reaches 0.
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Quick lookup — months until revenue covers costs:

Growth Rate/month	Revenue = 10% of Costs	Revenue = 25% of Costs	Revenue = 50% of Costs
5%	47 months	28 months	14 months
10%	24 months	15 months	7 months
15%	17 months	10 months	5 months
20%	13 months	8 months	4 months
30%	9 months	5 months	3 months

Run it month by month. A flat runway (cash divided by costs minus revenue) ignores growth and can call a growing team dead. Example: €10,000 cash, €5,000 costs, €2,000 revenue growing 30% a month. Revenue passes costs in month 5 and the cash never falls below about €2,400, so the team is default alive.

What To Do About It

If Default Dead:

You have exactly 3 options. Not 5. Three.

1. **Cut expenses.** The fastest lever. Can you get burn below €500/month? Most student teams can.
2. **Grow revenue faster.** This usually means: sell manually, charge more, or change your customer segment to people who pay faster.
3. **Raise money.** But investors can smell Default Dead. Fix #1 or #2 first.

Do NOT: hire, launch features, attend conferences, redesign your logo, or do anything that isn't one of the three options above.

If Default Alive:

Congratulations — you have the luxury of time. Use it wisely: - Don't get complacent. Default Alive at 5% growth is fragile. - Invest in the thing that accelerates growth, not the thing that feels productive. - Stay lean. The moment you raise money and increase burn, recalculate.

For Student Teams

Count as burn the pay each founder would need to work on the venture full time. Without it, nearly every student team looks default alive on paper.

The Uncomfortable Truth

Paul Graham: "*The fatal pinch is default dead + slow growth + not enough time to fix it.*"

The founders who succeed aren't the ones who avoid being Default Dead. They're the ones who check every week and course-correct immediately. The ones who fail are the ones who don't ask the question until it's too late.

Calculate your number. Write it on a Post-It. Look at it every Monday.